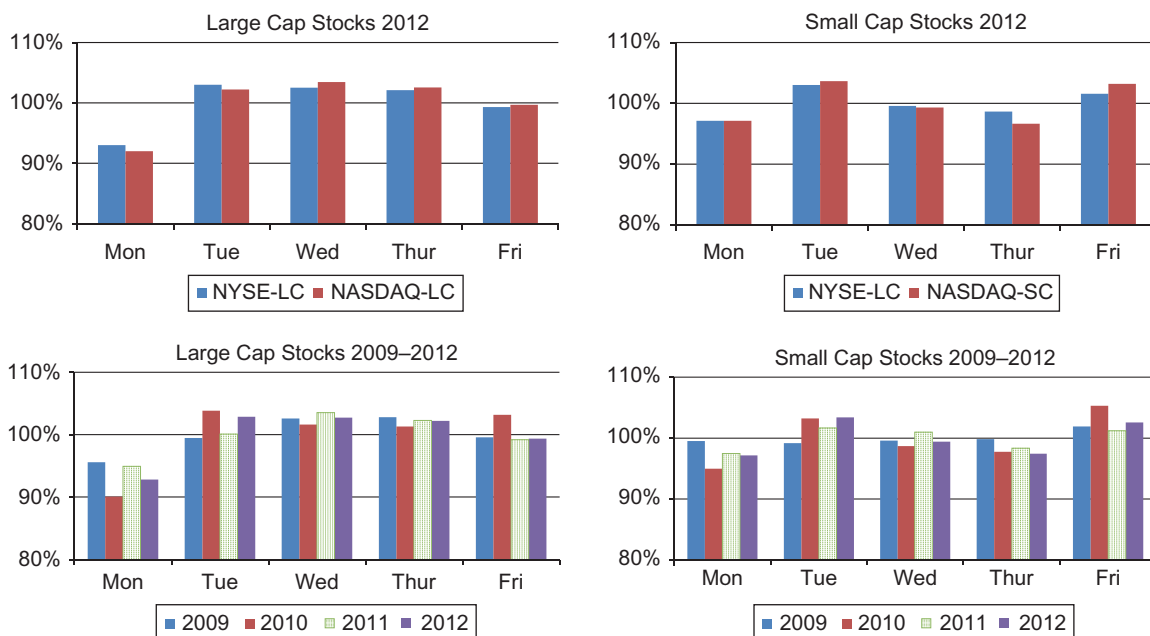




■ Figure 2.3 Day of Week Effect.

Managers are still haunted by the overnight collapse of many large cap companies during the financial crisis (Figure 2.3).

Intraday Trading Profiles

We examined the intraday trading patterns for spreads, volume, volatility, and intraday trading stability. Historically, each of these measures followed a U-shaped pattern. For example, volume and volatility were both high at the open, decreasing into mid-day and then increasing again into the close. Spreads also followed a similar U-shaped intraday trading pattern. Examination of the same profiles in today's market found a distinctly different trading pattern. There were also distinct differences across market capitalization (LC/SC) and exchange listing (NYSE/NASDAQ). Our analysis period was 1Q-2012.

Spreads

- Intraday spreads were measured as the average bid-ask spread in each 15 minute trading period.
- Spreads are higher at the open than mid-day, but do not spike at the close. Spreads in fact decrease slightly into the close.